

THE SESSION • POST-CLOSE READ

The Hawks *Stand Down*

Flat July producer prices pushed the September hike out of the front of the calendar and carried the tape to a second straight advance. Both sleeves finished behind their benchmarks as the bid concentrated where we are lightest.

S&P 500 ▲ 0.65%

NASDAQ ▲ 0.81%

DOW ▲ 0.13%

VIX 14.57

BRENT ▼ \$88

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

+0.42%

1-DAY

FCI		+0.42%
DVY		+1.04%
SPY		+0.69%

YTD +23.83% vs DVY +18.56% • SPY +14.67%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.31%

1-DAY

FCI		-0.31%
IUSG		+0.76%

YTD +21.00% vs IUSG +16.35%

THE SESSION

July producer prices came in flat, and the market took its instruction from the pipeline rather than from the podium. Final demand was unchanged on the month against a consensus looking for a 0.2% rise, with goods prices down 0.7% and energy goods off 3.1%; services added 0.2%, and core excluding food, energy and trade services ran a tick warm at 0.4%. On the year the headline sits at 4.7% and core at 4.2%. Coming one day after a July CPI that behaved, the print was enough for traders to move the first hike out of September and toward October or December, even as Cleveland's Beth Hammack repeated her call to raise. Initial claims added 9,000 to 209,000, slightly above the 204,000 estimate. Yields eased, and equities took the second leg of the week's advance: the S&P 500 rose 0.65% to 7,798.86, the Nasdaq 0.81%, the Dow 0.13%.

The leadership tells the more useful story. DVY gained 1.04% as the highest-yielding, most rate-sensitive corners of the dividend universe repriced hardest against the lower path; our Dividend Strategy added 0.42%, well built but differently built. What the sleeve had was specific and earned — Lam Research +3.34% on the read-through from SanDisk's investor day, S&P Global +3.07%, ADP +2.56%, SS&C +2.37% — against modest give-backs in Stryker, Fastenal, Lockheed and Steel Dynamics. The Growth Portfolio closed -0.31% while IUSG rose 0.76%, and the gap sits almost entirely in three pockets: digital-asset infrastructure, with Hut 8 -8.62% and MARA -4.46% as bitcoin held near \$63,400; metals, with Freeport -3.45% and Agnico -2.60% after gold gave back 1.38% to \$4,405.80; and the China-exposed names, Full Truck -4.32% and Atour -2.28%. Robinhood +4.70%, Fortinet +2.86%, SoFi +2.73% and Marvell +2.35% carried the other side.

A session in which the index leads and the portfolio lags is a statement about composition, not about the businesses we own.

We would rather lag on a session that pays a premium for yield sensitivity than reshape the book to chase one. The standing has not moved: Dividend Strategy is +23.83% for the year against DVY at +18.56% and SPY at +14.67%; Growth Portfolio is +21.00% against IUSG at +16.35%. The honest footnote is the quarter — the Growth Portfolio is -1.12% quarter-to-date while IUSG has added 3.64%, the arithmetic of a book that leans into digital-asset and commodity-linked cyclical dur-

ing a stretch when both have been out of favor. That lean is deliberate and it is the same lean that produced the year-to-date margin. Elsewhere Brent eased toward \$88 as forecasters trimmed demand estimates, the VIX finished at 14.57, and the Strait of Hormuz remains unresolved — a live variable for energy and for the inflation path the Fed is now being told to stop fearing.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

HOOD +4.70% GROWTH

July operating data released Wednesday showed accounts and net deposits still growing; Truist reiterated its buy rating, reading the month as better than expected even with crypto notional volume down 62% year over year.

LRCX +3.34% DIVIDEND

SanDisk's investor day laid out a multi-year model implying sustained NAND capital spending. Lam carries the industry's largest NAND installed base and the deepest etch and deposition exposure.

SPGI +3.07% DIVIDEND

Index, ratings and data compounders firmed as the yield path eased. No company release accompanied the move; the Mobility Global separation completed earlier this month.

DECLINERS

HUT -8.62% GROWTH

Digital-infrastructure and mining names gave back ground with bitcoin near \$63,400. No company release accompanied the session; the group has been repricing since the early-August quarter.

MARA -4.46% GROWTH

Moved with the same complex. Mining economics remain tied to a bitcoin price that is lower on the year, and the sector trades increasingly as a basket.

YMM -4.32% GROWTH

China-exposed platform names eased against a firm domestic tape, with no company-specific development on the day.

FTNT +2.86% GROWTH

Security software joined the broader software bid as rate-hike expectations moved further out the calendar.

SOFI +2.73% GROWTH

Consumer lenders responded to the lower short-end path; two-year yields fell alongside the producer-price print.

ADP +2.56% DIVIDEND

Extended the recovery that began with the August 1 fiscal-year report, which drew a steady sequence of raised price targets.

FCX -3.45% GROWTH

Copper slipped to roughly \$6.57 a pound and the mining equities moved further than the metal, as they typically do. The Grasberg ramp remains the medium-term swing factor.

AEM -2.60% GROWTH

Gold eased 1.38% to \$4,405.80 after a two-session advance, and the miners gave back a multiple of the metal's move.

SYK -1.76% DIVIDEND

Medical devices lagged a session that paid for rate sensitivity and cyclical. No company-specific release.

HOLDINGS NEWS

Lam Research — NAND demand framed as running ahead of plan. Speaking to the memory cycle, chief executive Tim Archer tied incremental NAND bit-demand growth directly to accelerator ship-

ments, guided 2026 wafer fab equipment spending to roughly \$135 billion, and pointed to advanced packaging growing more than 40% this year. The company's most recent quarter delivered \$1.82 of earnings

on \$6.72 billion of revenue, with the next report scheduled for October 28. For an owner, the relevant point is that the memory upgrade cycle is being underwritten by contracts rather than by hope.

Robinhood — July metrics show the mix broadening. The monthly operating update showed continued customer and deposit growth even as crypto notional volume fell 62% from a year ago, a re-

minder that the revenue base has widened beyond the trading engine that defined the company. It follows a second quarter in which revenue rose 32% to \$1.31 billion and prediction-market revenue reached \$156 million. We continue to size the position for what it is: a high-beta financial with a genuinely improving franchise underneath.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+23.83%

vs DVY +18.56% / SPY +14.67%

GROWTH PORTFOLIO

+21.00%

vs IUSG +16.35%